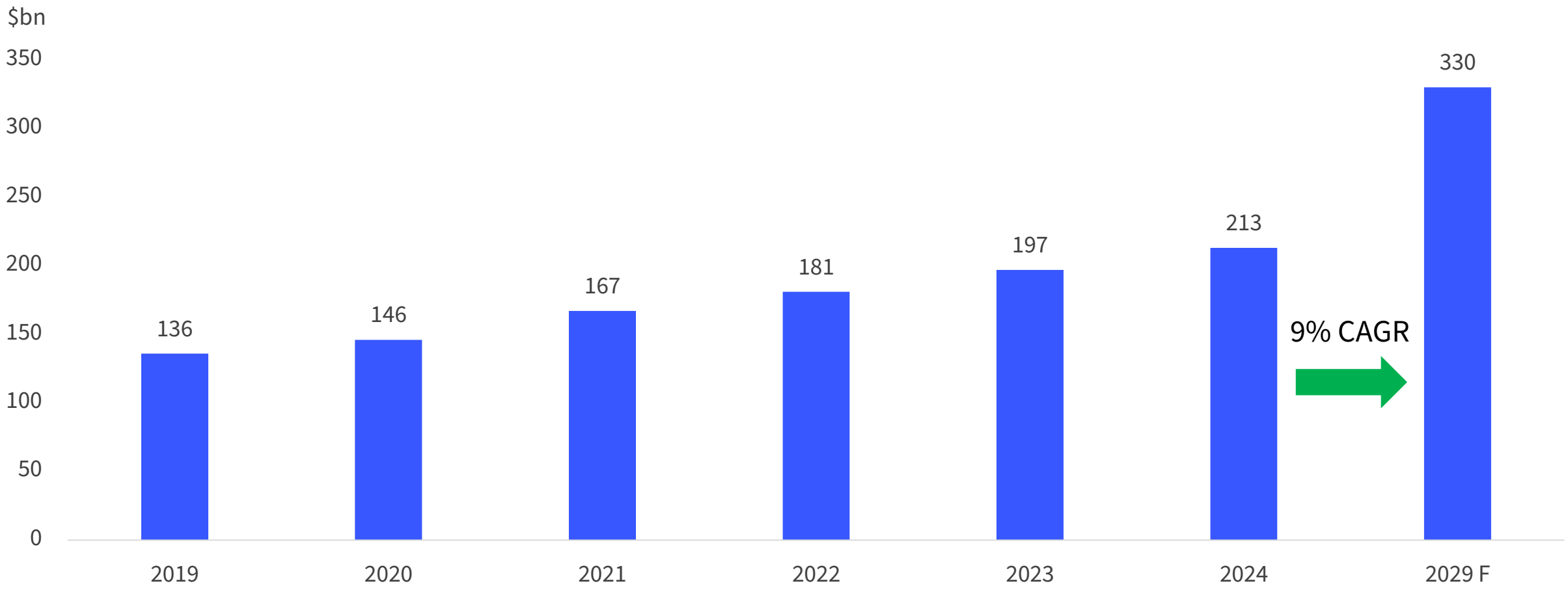
India
CRDMO Sector

CRDMO stands for Contract Research, Development and Manufacturing Organization

Global CRDMO Industry Growth

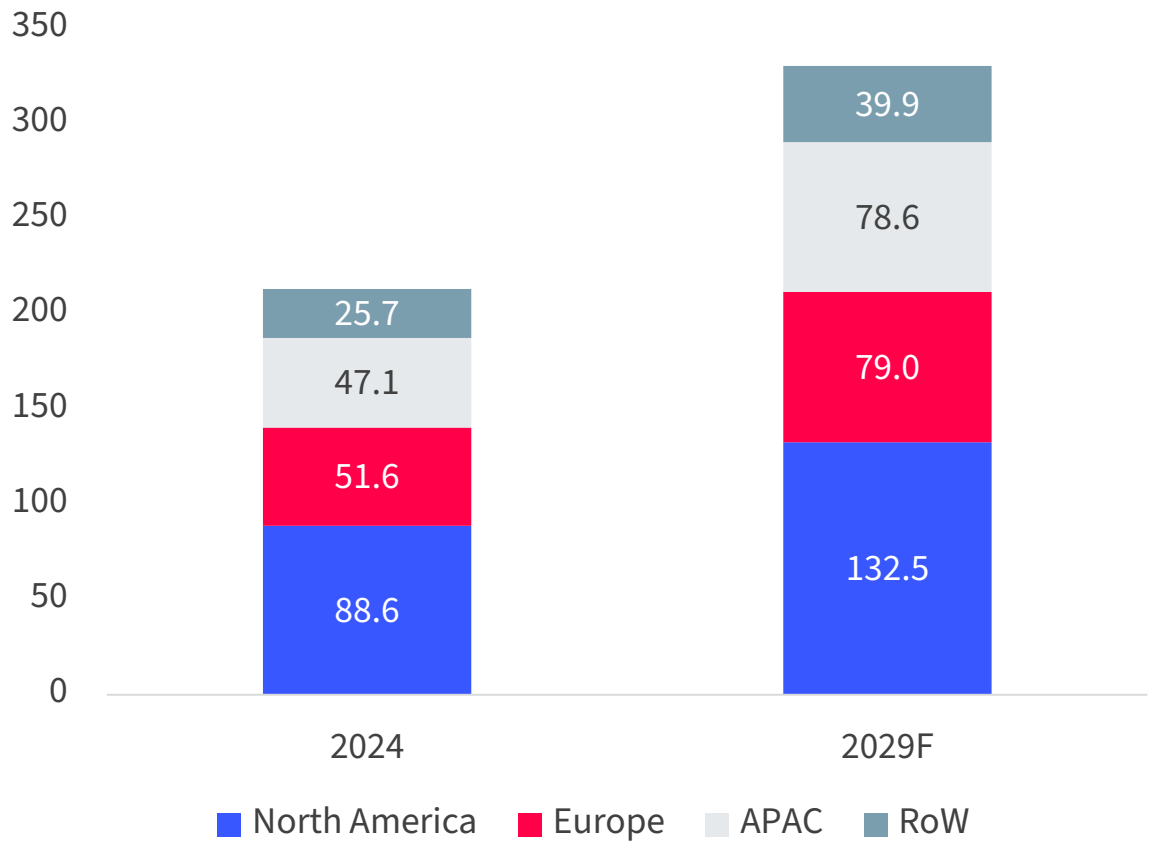
Global CRDMO industry to grow at a 9% CAGR over 2024-29F



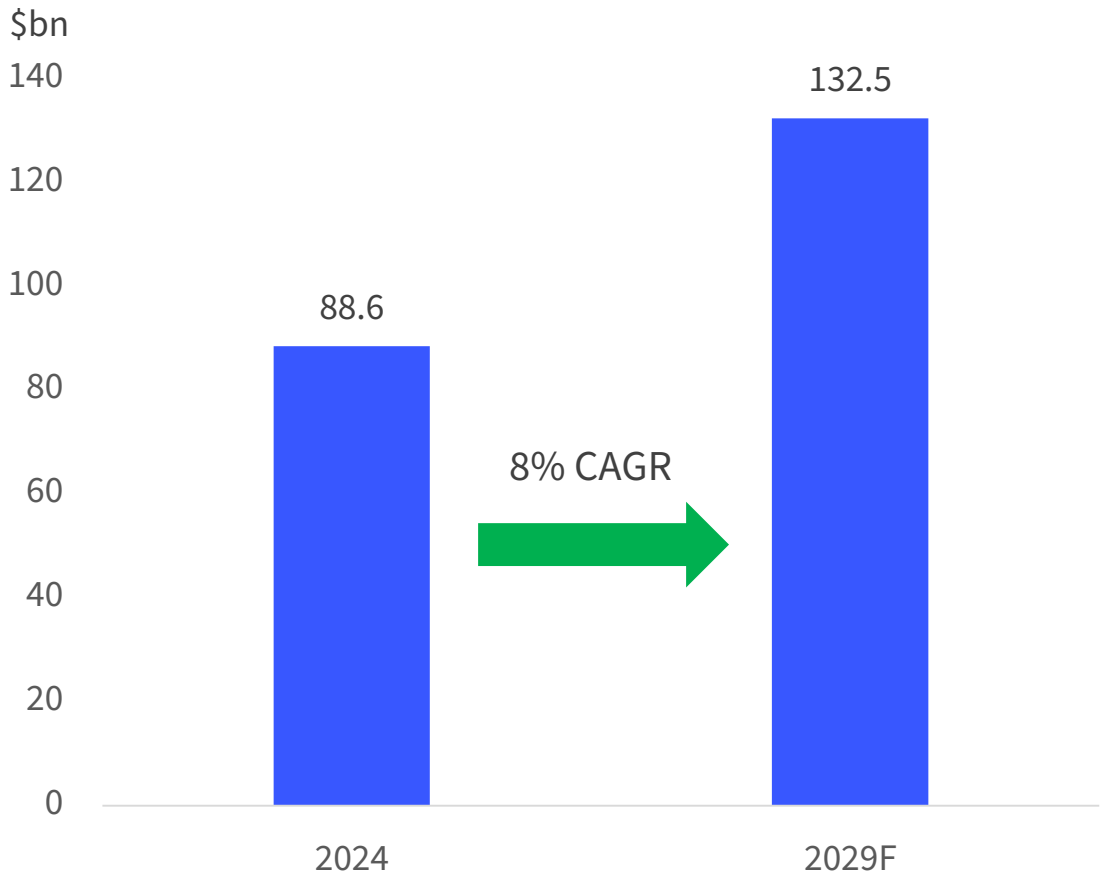
Source: Frost & Sullivan, Anthem BIO RHP, Sai Life Sciences DRHP, JP Morgan India CRDMOs. Dated Sep 2025 Details are as per latest data available

CRDMO industry by region

North America is the largest region by revenues globally



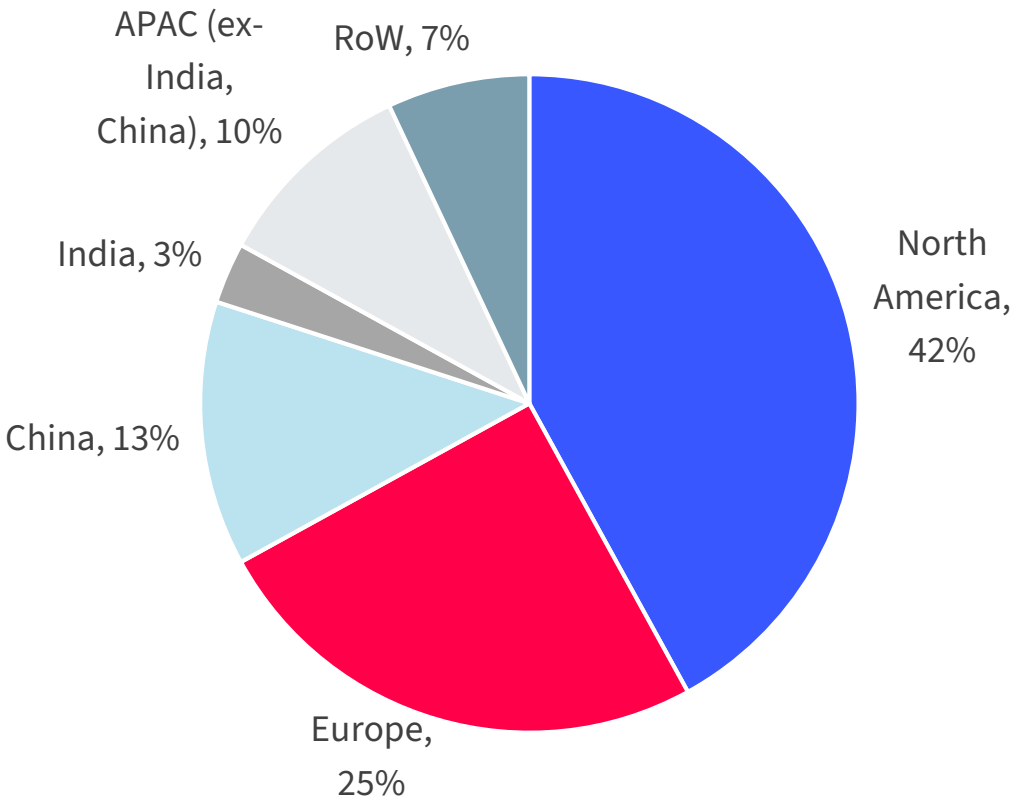
North America is expected to grow by a 7% CAGR till 2029



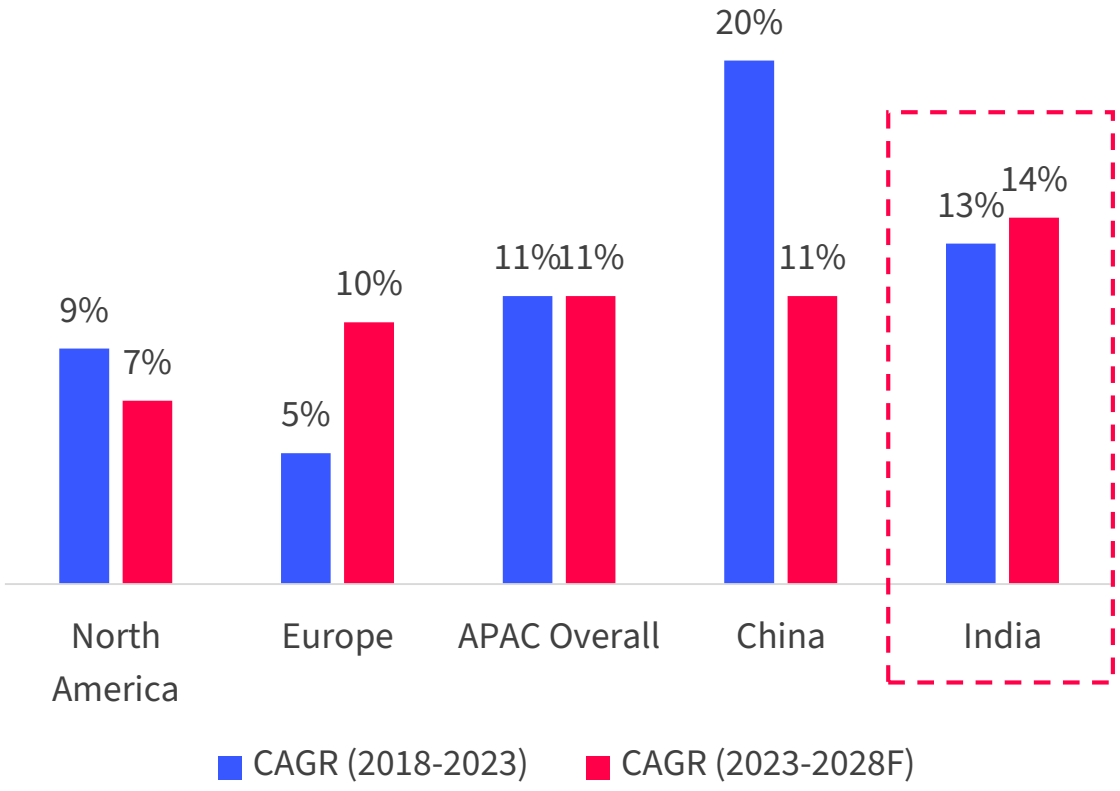
Source: Frost & Sullivan, Anthem BIO RHP, JP Morgan India CRDMOs, Dated Sep, 2025 Details are as per latest data available

CRDMO industry by region

Indian CRDMO companies are currently at a nascent stage compared to the size of opportunity ahead



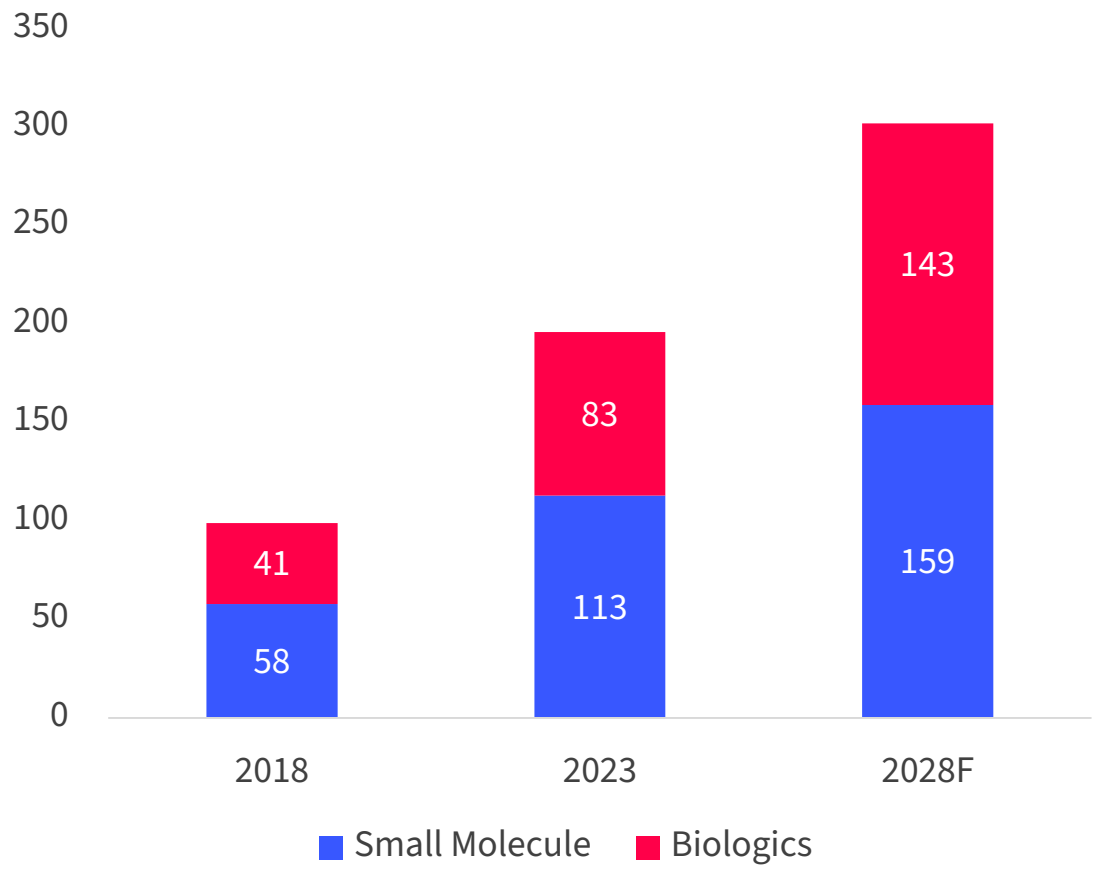
Indian CRDMO companies are currently at a nascent stage compared to the size of opportunity ahead



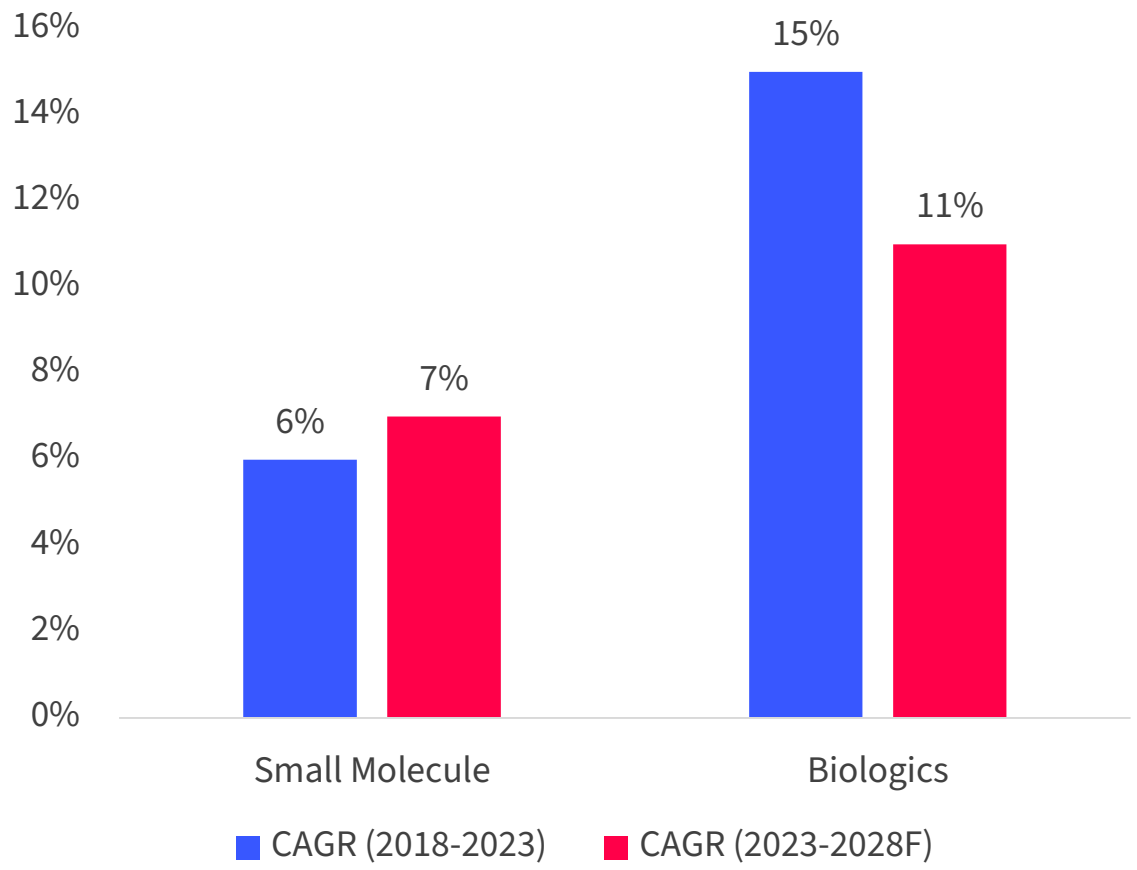
Source: Frost & Sullivan, Macquarie India CRDMO - Dated Feb 2025 Details are as per latest data available. APAC stands for Asia Pacific

Global CRDMO Industry

Global CRDMO industry by modality, 2018-2028F (in USD bn)



Growth rate of global CRDMO industry by modality, 2018-2028F



Source: Macquarie India CRDMO , Dated Feb 2025. Details are as per latest data available

CRDMO Industry Operating Model

kotak Mutual Fund

CRDMO

DISCOVERY

- Target Identification
- Target Validation
- Hit Identification
- Lead Optimization
- Assay Development
- Computational Drug Design

CRO

PRE-CLINICAL

- Pharmacokinetics (PK
- Pharmacodynamics (PD)
- Toxicology Studies
- In Vivo Efficacy Testing
- IND Application Submission

CRO

CLINICAL

- Phase 1 trials
- Phase 2 trials
- Phase 3 trials
- NDA Submission
- Clinical trial substance manufacturing

CRO + CDMO

DEVELOPMENT

- API and Formulation Development
- Process Development
- CMC Support
- Technology transfer and scale-up

CRO + CDMO

MANFUACTURING

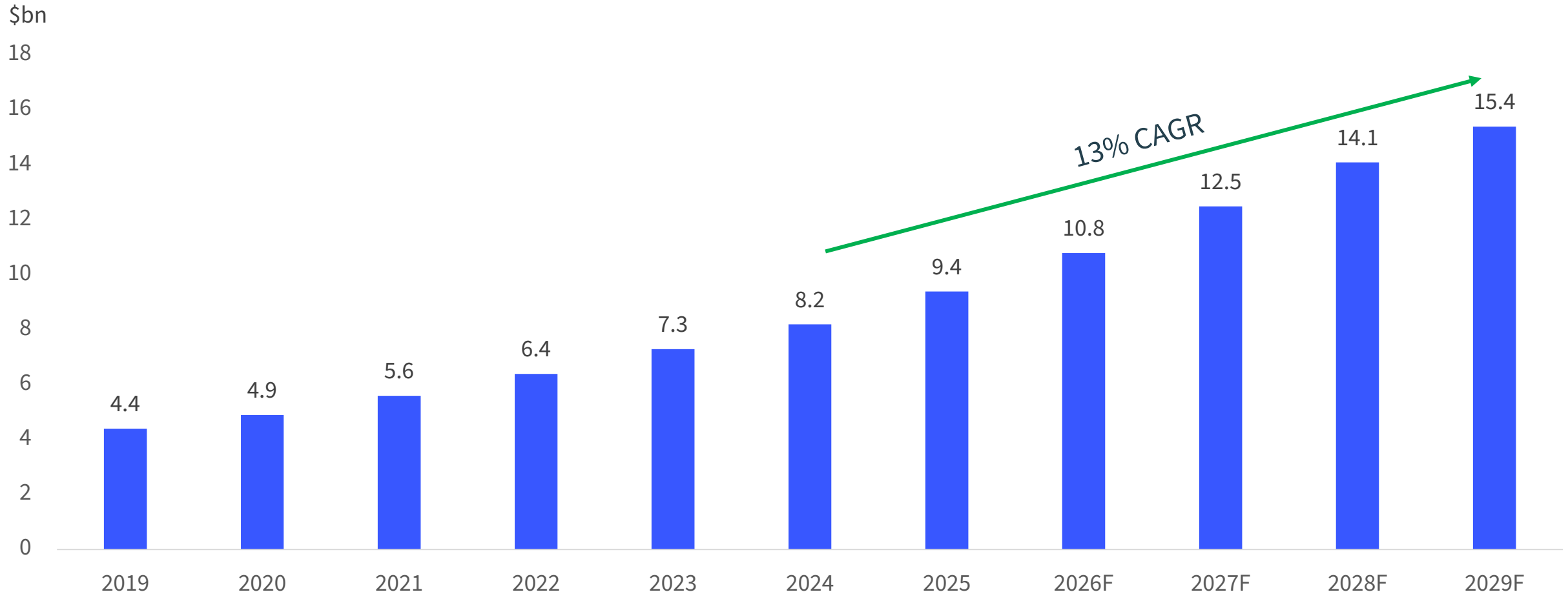
- Research & commercial scale manufacturing
- Regulatory Affairs
- Labeling, Packaging, fill and finish Supply chain management
- Commercialisation services

CDMO

Source: Frost & Sullivan, Anthem Bio RHP, JP Morgan India CRDMOs, Dated Sep, 2025. Details are as per latest data available.

India's CDMO industry

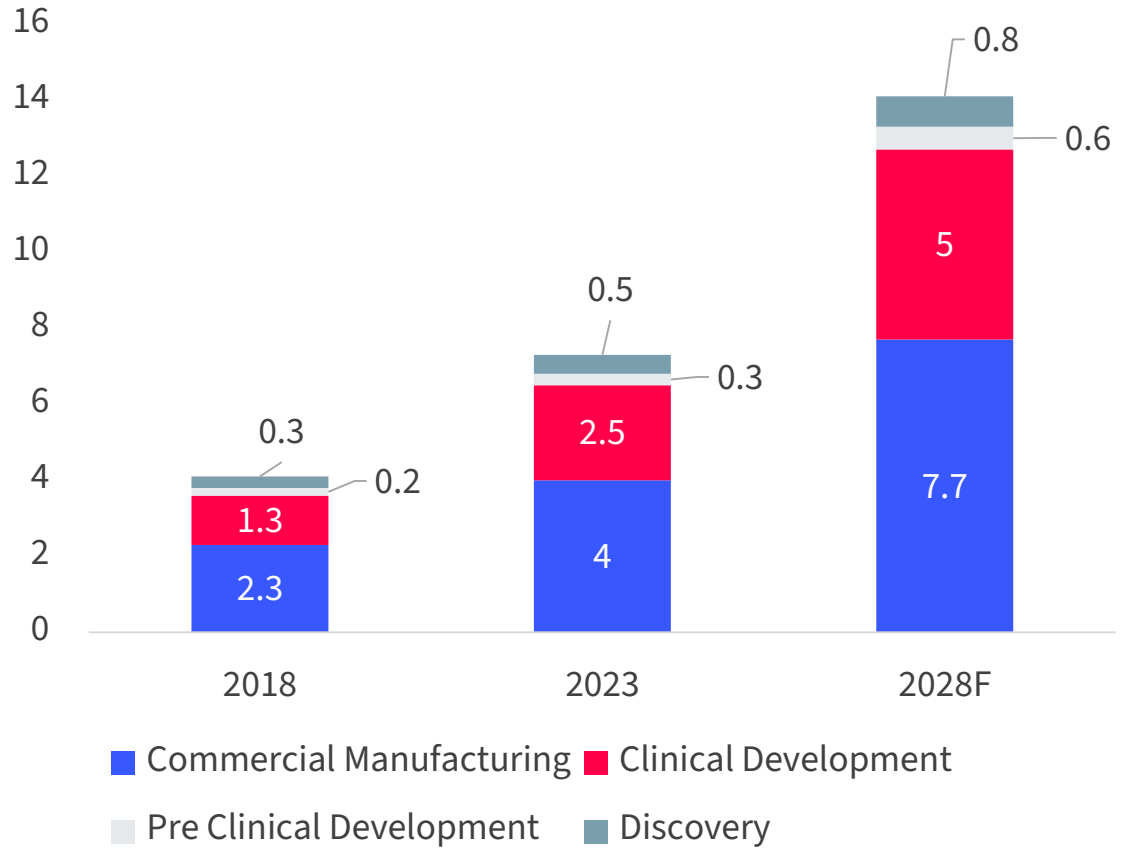
India's CDMO industry is expected to grow at a healthy 13% CAGR over FY24-29



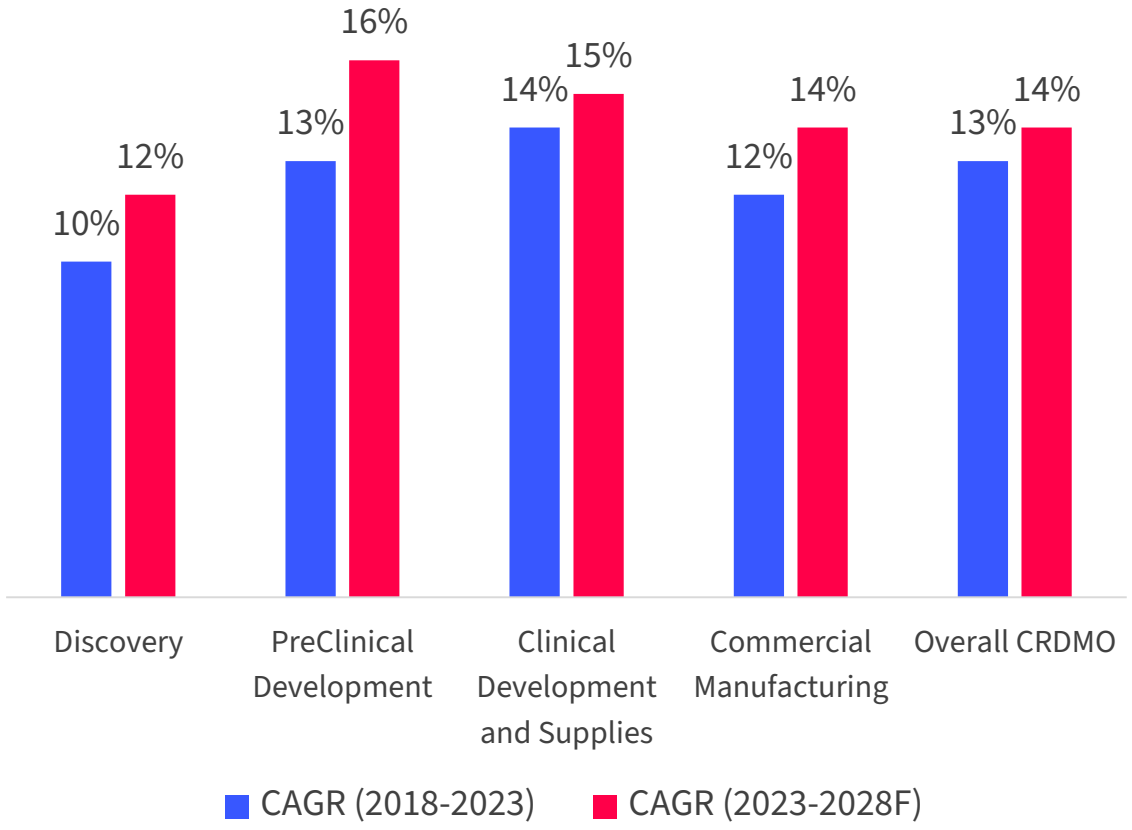
Source: Frost & Sullivan, Anthem BIO RHP, Sai Life Sciences DRHP, JP Morgan India CRDMOs. Dated Sep 2025 Details are as per latest data available

India's CRDMO Industry by function

India CRDMO industry by function, 2018-2028F (in USD bn)



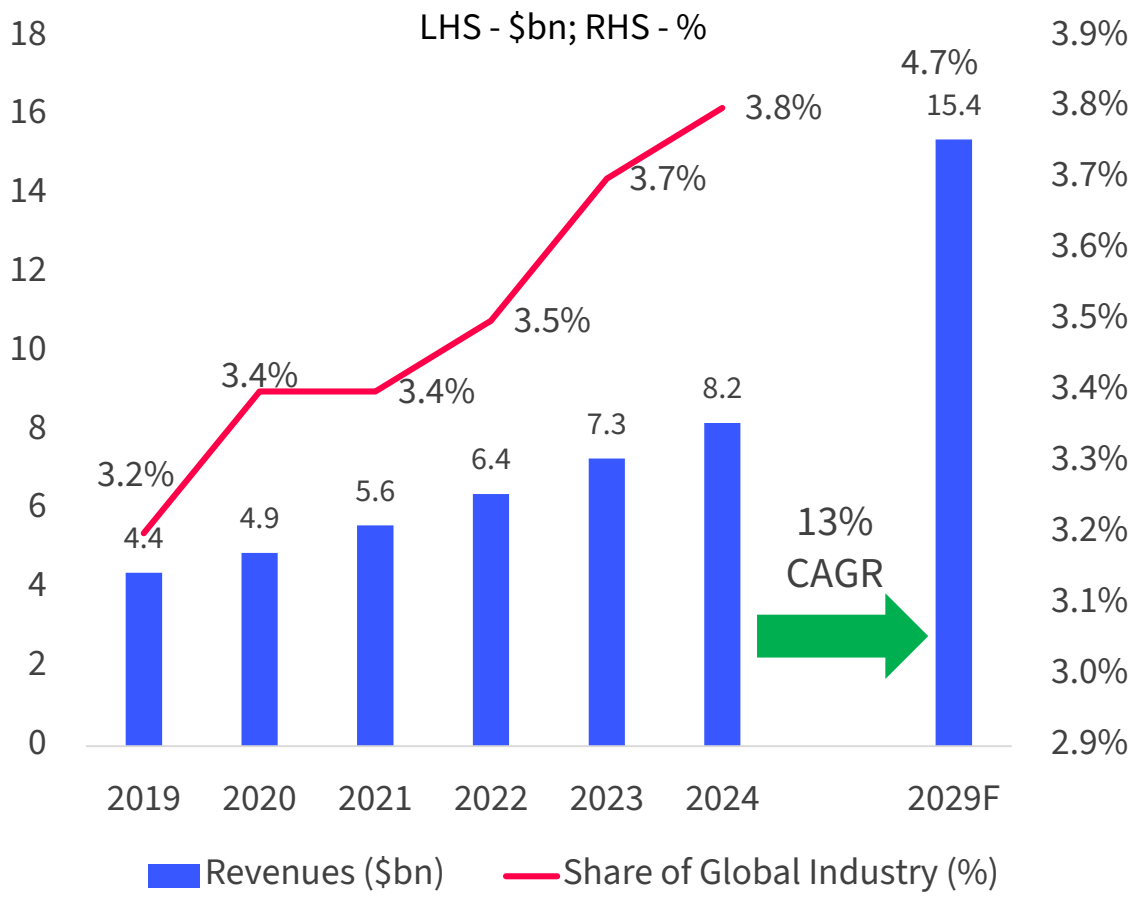
Growth rate of India CRDMO by function, 2023-2028F



Source: Frost & Sullivan, Macquarie India CRDMO - Dated Feb 2025 Details are as per latest data available

India's Market share in CRDMO

India's share to grow at a 13% CAGR to reach 5% of the global market



India is expected to gain market share largely at the expense of RoW markets

Region	% share of global (2024)	% share of global (2029E)
North America	42%	40%
Europe	24%	24%
APAC	22%	24%
RoW	12%	12%

Source: Frost & Sullivan, Anthem BIO RHP, Sai Life Sciences DRHP, JP Morgan India CRDMOs. Dated Sep 2025 Details are as per latest data available. APAC stands for Asia Pacific.

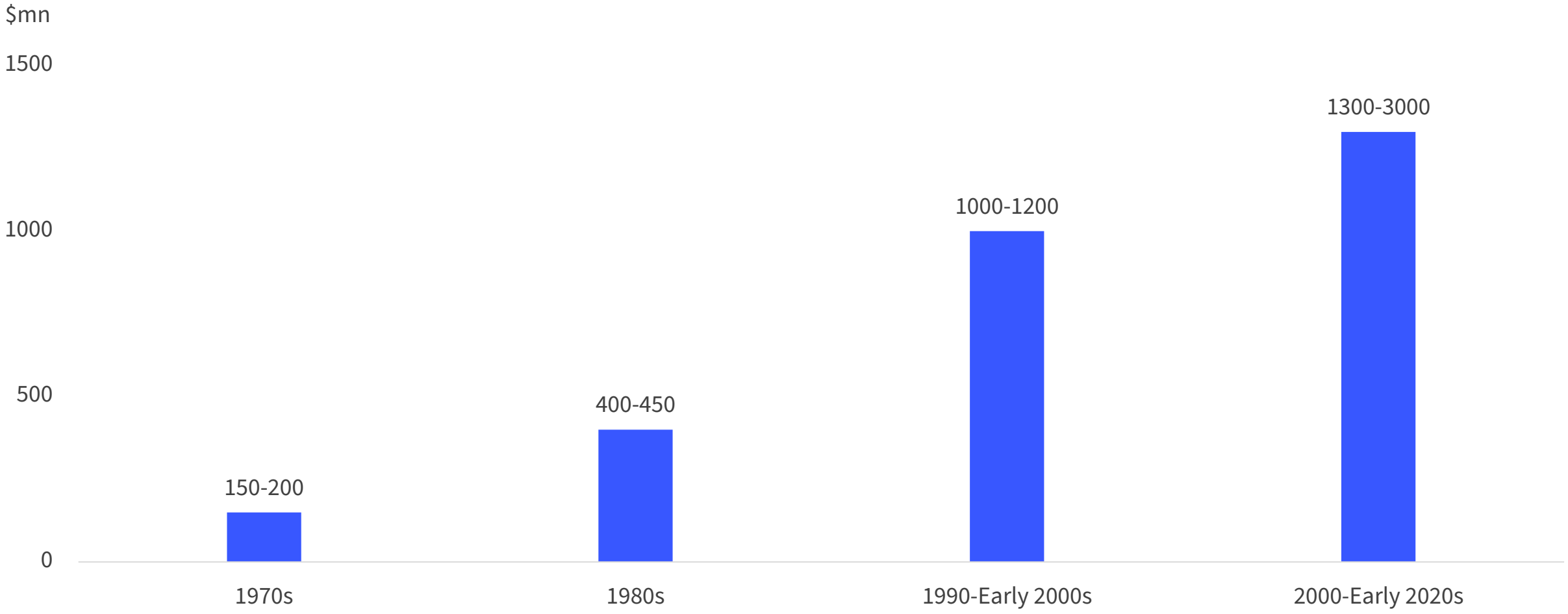
Evolution of India CRDMO sector

Time Period	2000-10	2011-15	2016-20	2021-23	2024-2025
# of Listed firms	5	6	6	9	11
Mcap ($ bn)	<2	2-6	6-23	20-30	30-50
Valuation (P/E)	15-20	15-20	20-40	40-50	50-60
	Value addition in the drug supply chain	Intermediate/Generic manufacturing, PK/PD, bio-equivalence studies	Direct relations with Big Pharma, dedicated center establishment for CRO, drug synthesis & development	Adding manufacturing capabilities, offering integrated services from early phase to commercial	Scaleup of manufacturing operations, setting up overseas operations	New modalities like ADCs & oligos, NCE API manufacturing, continued foray of overseas presence

Source: Jefferies - India CRDMO: A Firehose of Opportunities, dated August 2025 Details are as per latest data available. #= No. of listed firms. ADC stands for Anti-body Drug Conjugate. NCE: New Chemical Entity

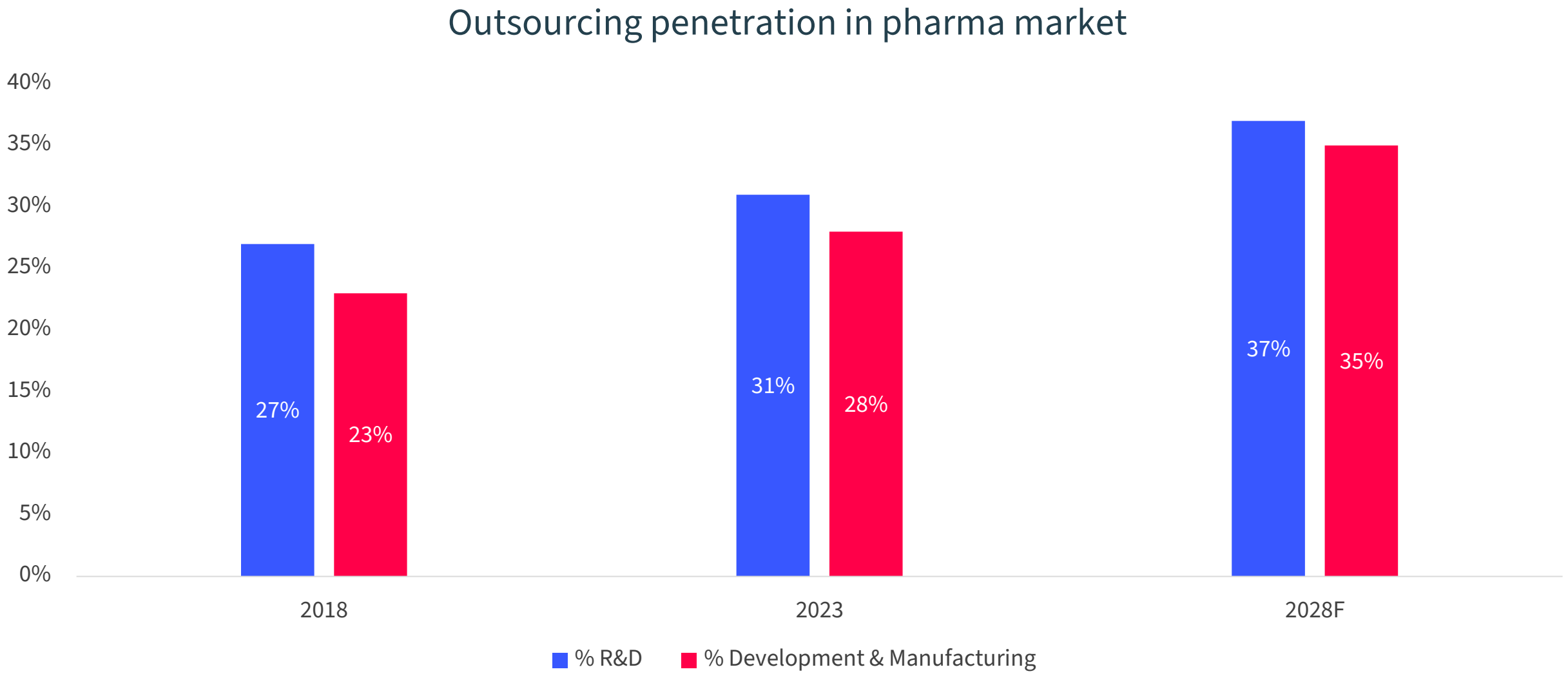
Drug Development costs have increased

Increase in drug development costs represents a larger opportunity for CROs



Source: Frost & Sullivan, Anthem Bio RHP, JP Morgan India CRDMOs, Dated Sep, 2025. Details are as per latest data available.

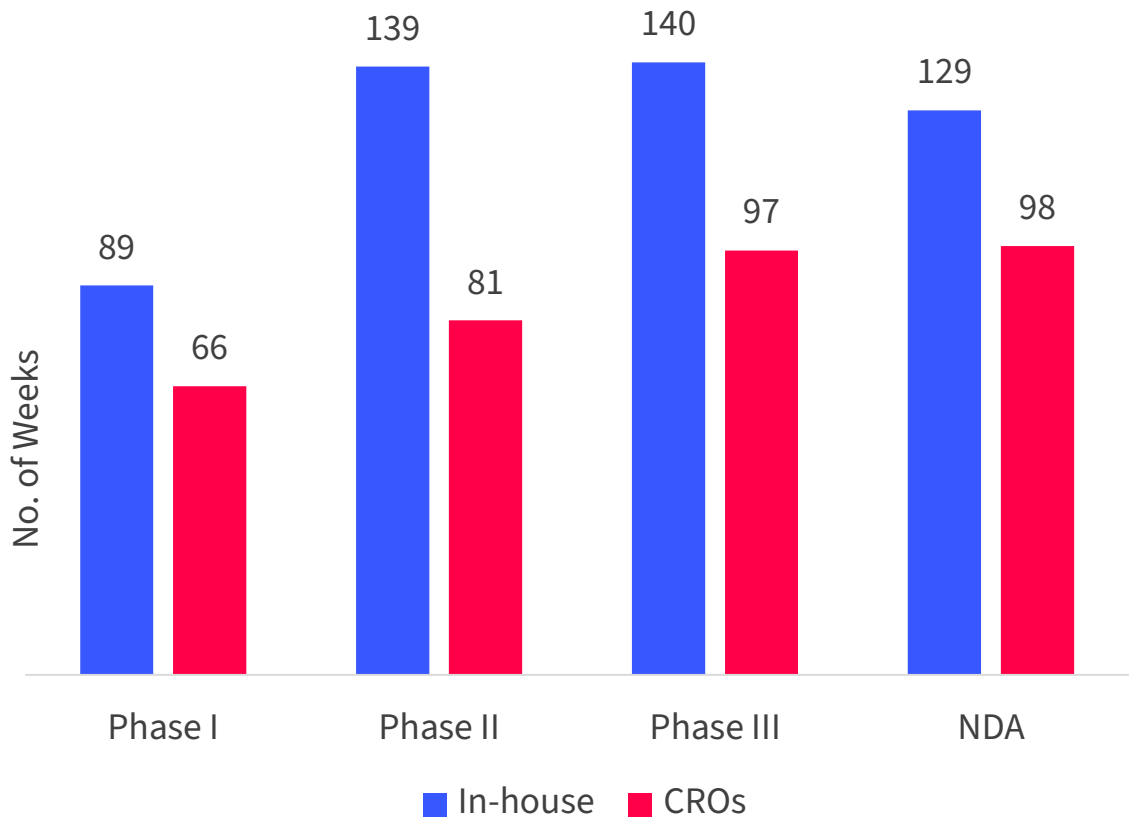
Pharma Outsourcing Trend



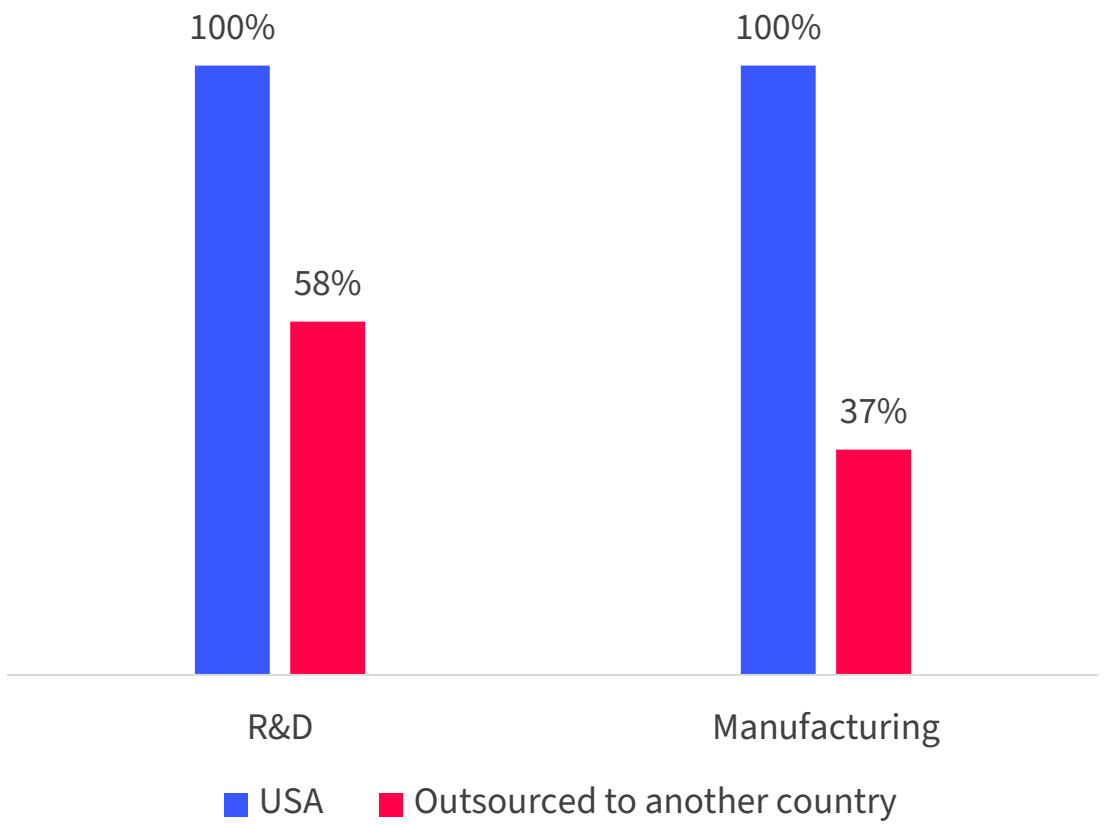
Source: JM Financial – Indian CRDMO, dated October 2025 Details are as per latest data available

What is leading increase in outsourcing?

Significantly lower timeline for outsourced R&D



Substantial cost savings in outsourcing services

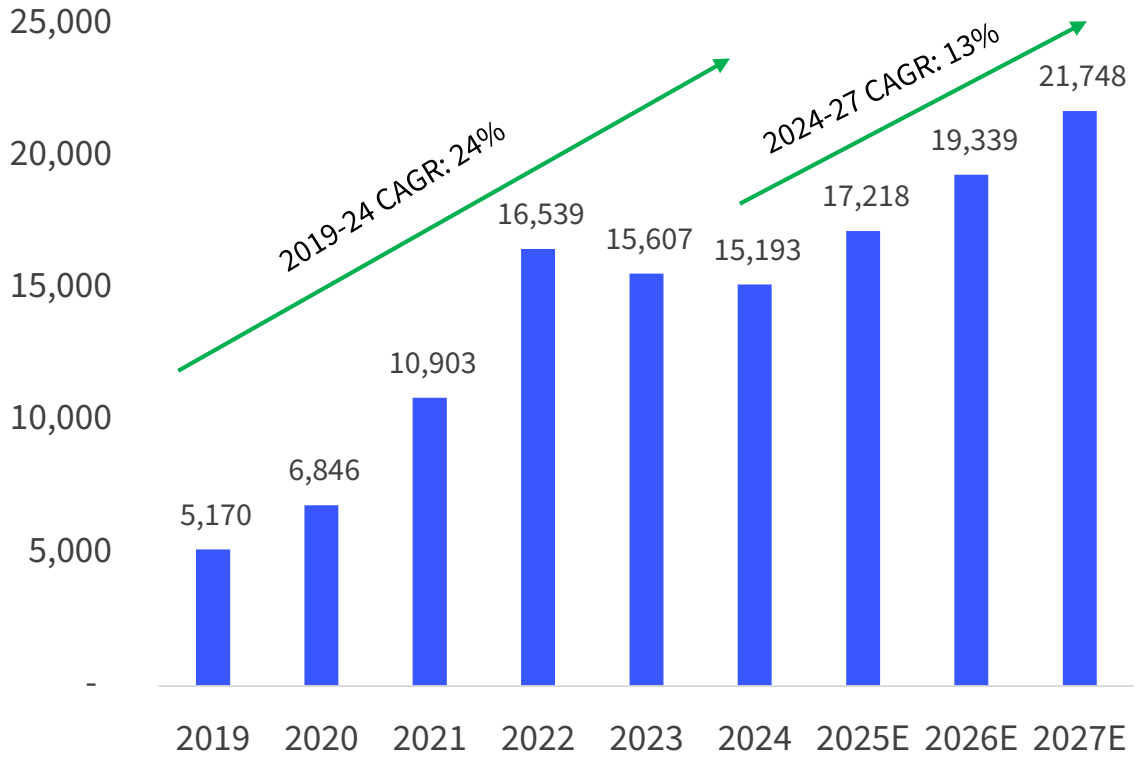


Source: Frost & Sullivan, Industry, JM Financial – Indian CRDMO, dated October 2025 Details are as per latest data available. NDA stands for New Drug Application.

China+1 Opportunity – How Big is China?

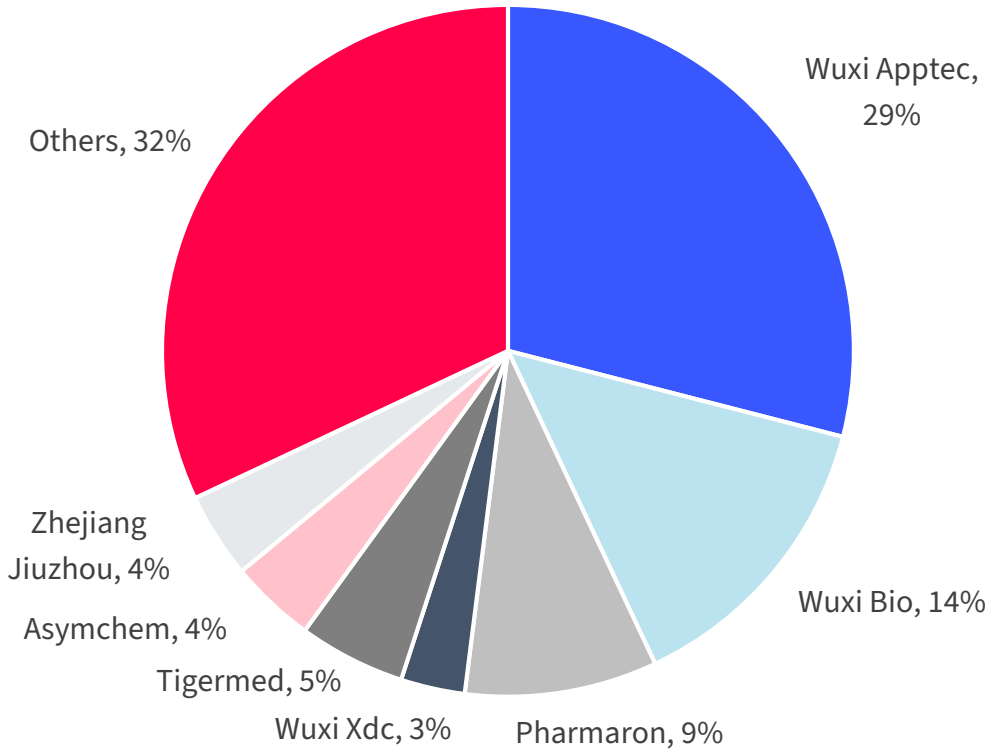
Chinese listed CRDMO have registered a strong 24% sales CAGR during 2019-24

Sum total revenue of listed Chinese CRDMO firms (USDm)



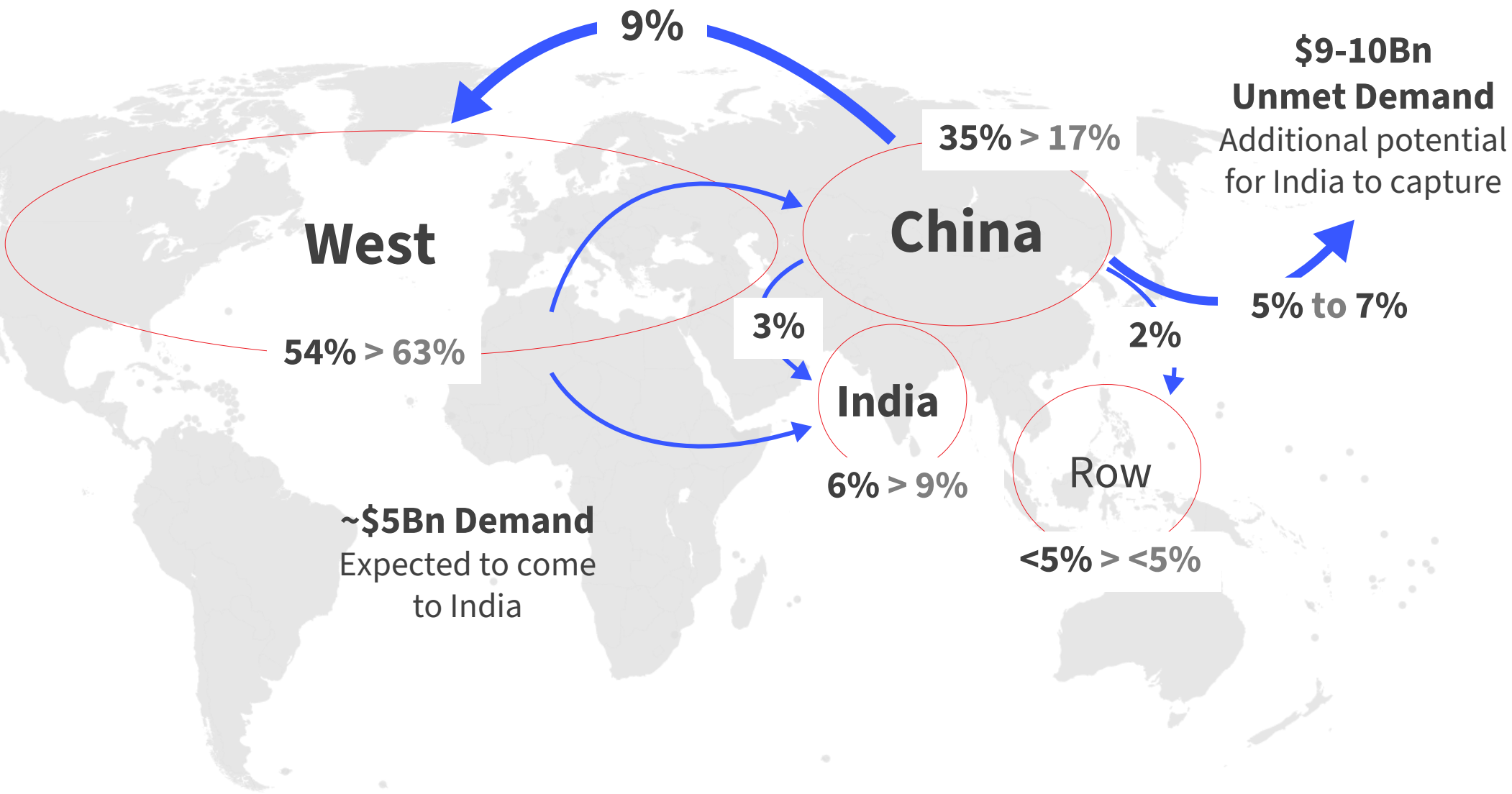
Wuxi group companies dominate market share among Chinese CRDMO

Market share of key Chinese CRDMO (%)



Source: Bloomberg, Company data, Jefferies - India CRDMO: A Firehose of Opportunities, dated August 2025, Details are as per latest data available. The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only.

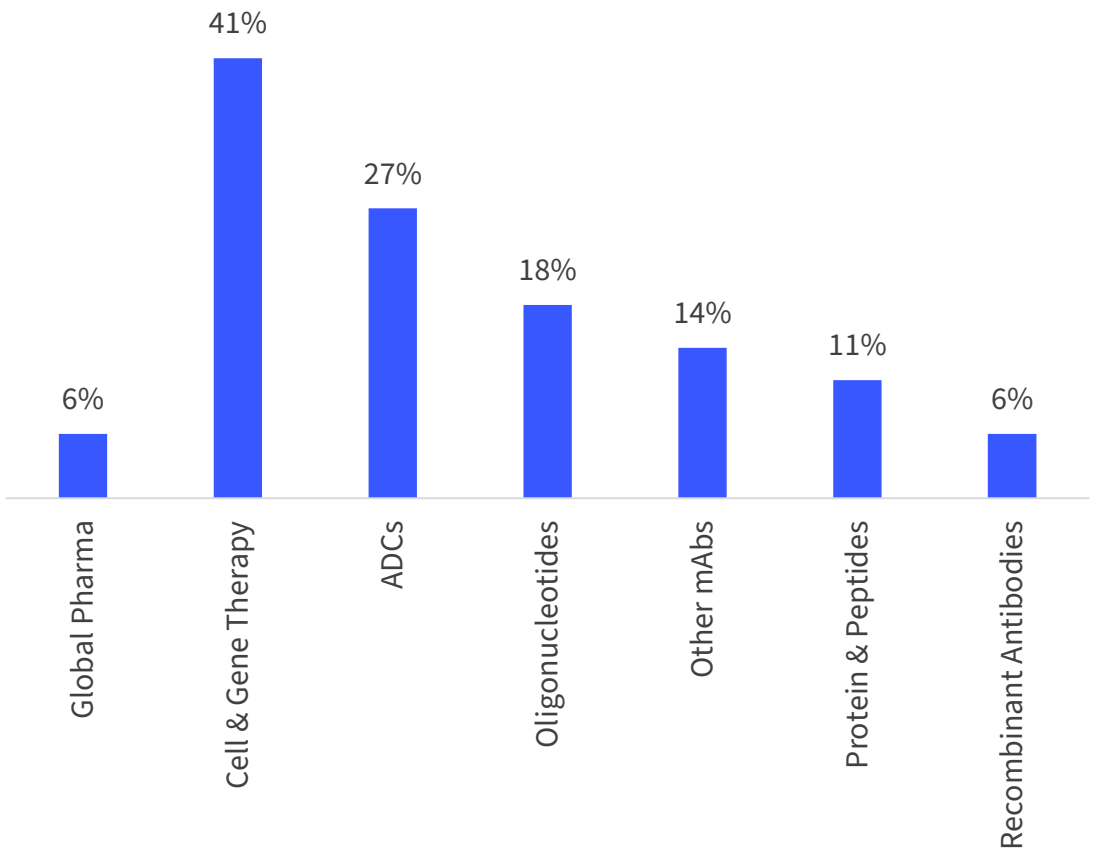
China+1 Opportunity – Shift in Global supply chain?



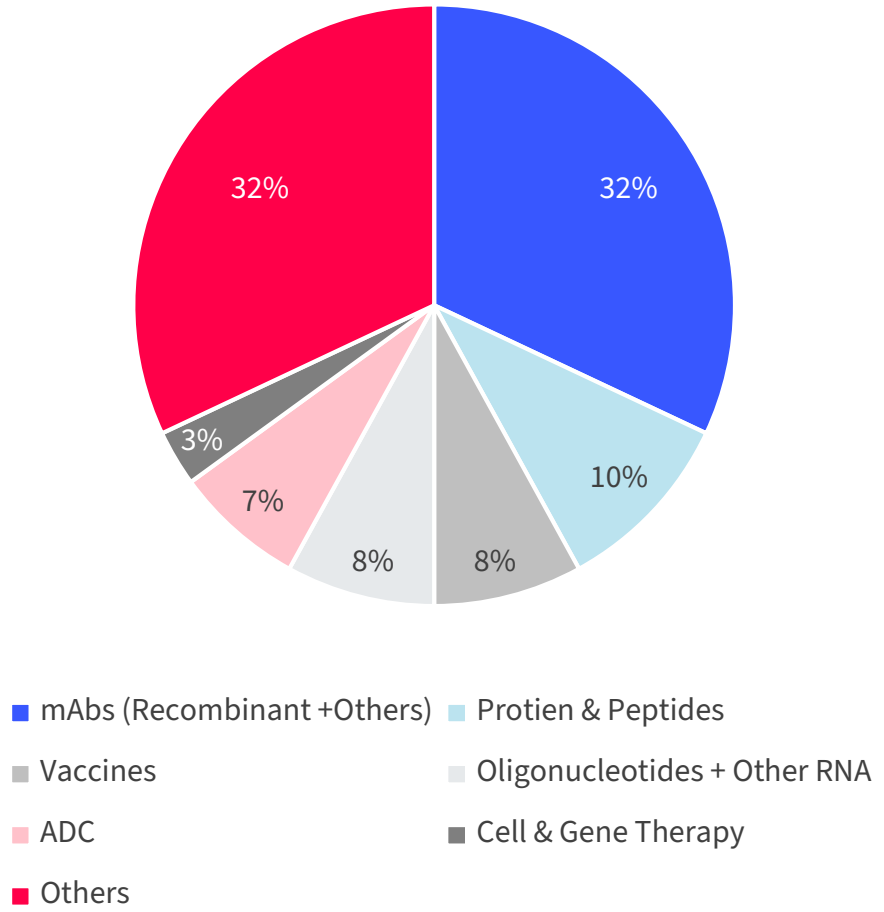
Source: BCG, JM Financial – Indian CRDMO, dated October 2025 Details are as per latest data available

New age modalities to present significant growth opportunity

New age modalities projected to deliver significant growth (2023-28 CAGR)



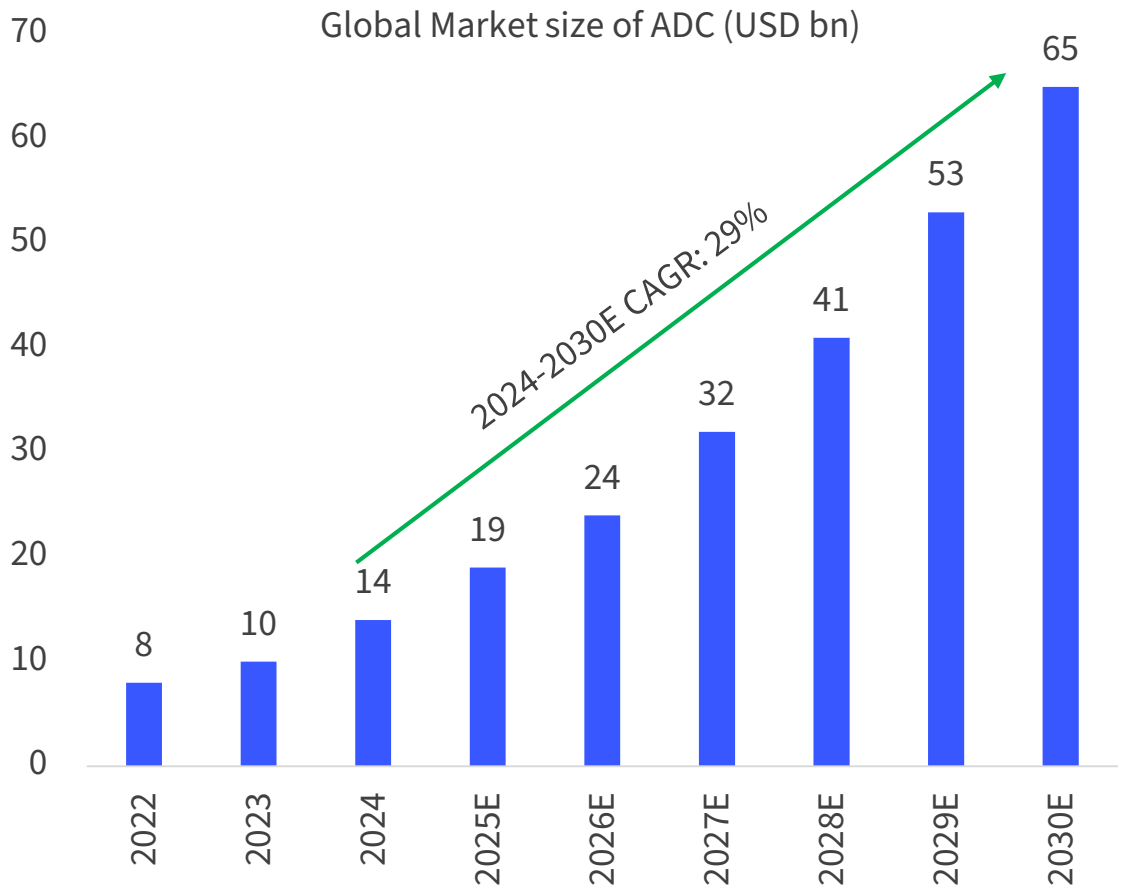
Global Top-10 Pharma Phase II & Phase III pipeline composition



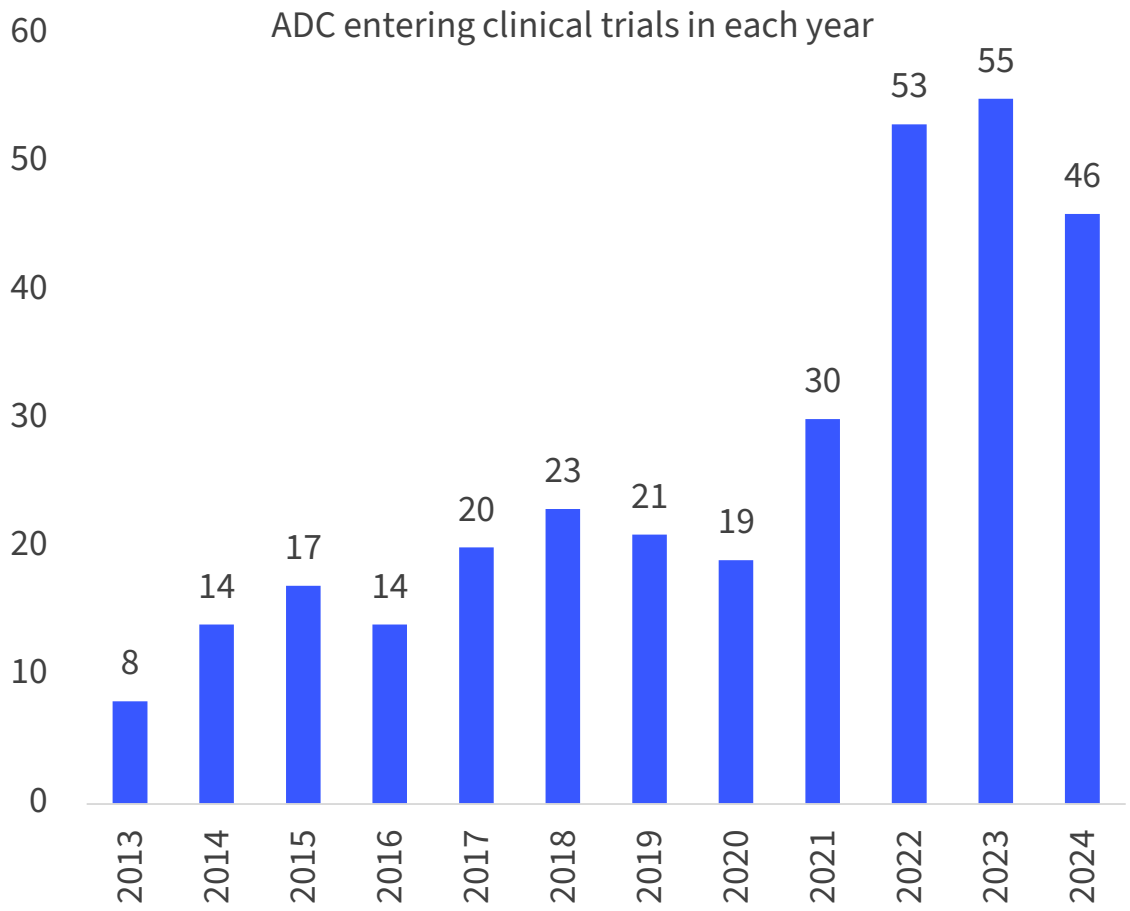
Source: Industry, Company data, JM Financial – Indian CRDMO, dated October 2025. Details are as per latest data available, Source: Company data, Industry, JM Financial. ADC stands for Antibody-Drug Conjugate , RNA: Ribonucleic Acid. Details are as per latest data available

New age modalities to present significant growth opportunity

New launches and expansion of indication to drive healthy growth for sales of ADC drugs



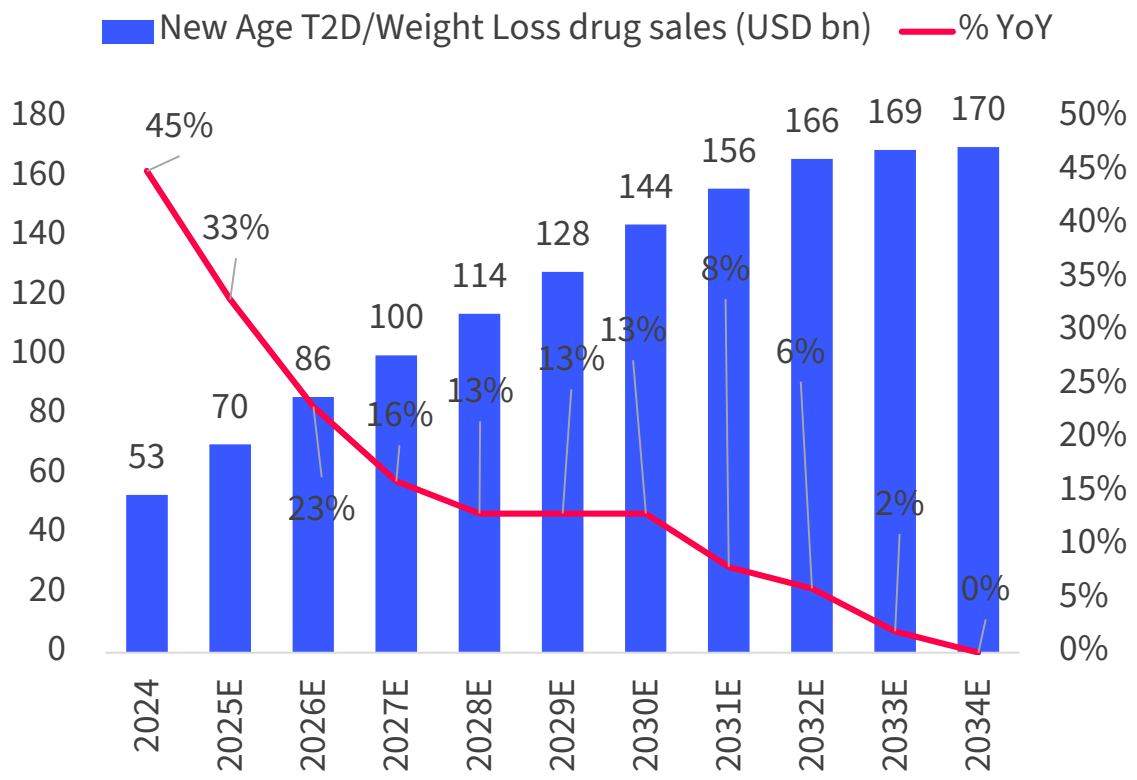
ADCs entering clinical trials have doubled vs precovid levels



Source: Frost & Sullivan, Pharmaprojects, Jefferies - India CRDMO: A Firehose of Opportunities, dated August 2025 Details are as per latest data available. ADC stands for Antibody-Drug Conjugate. Details are as per latest data available

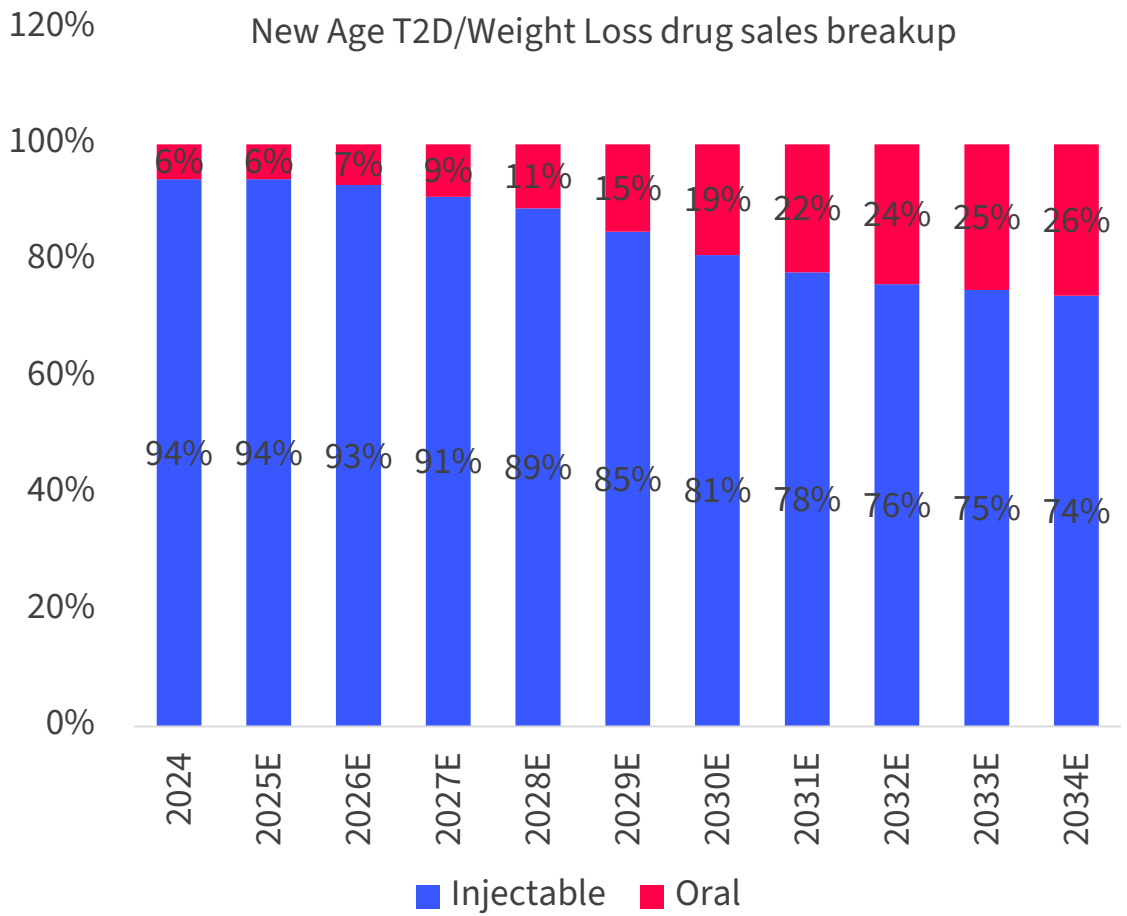
The GLP-1 Opportunity

New-age weight loss & T2D diabetes drugs to register ~USD140bn+ sales by 2030



New age drugs include GLP/GIP/Amylin based drugs

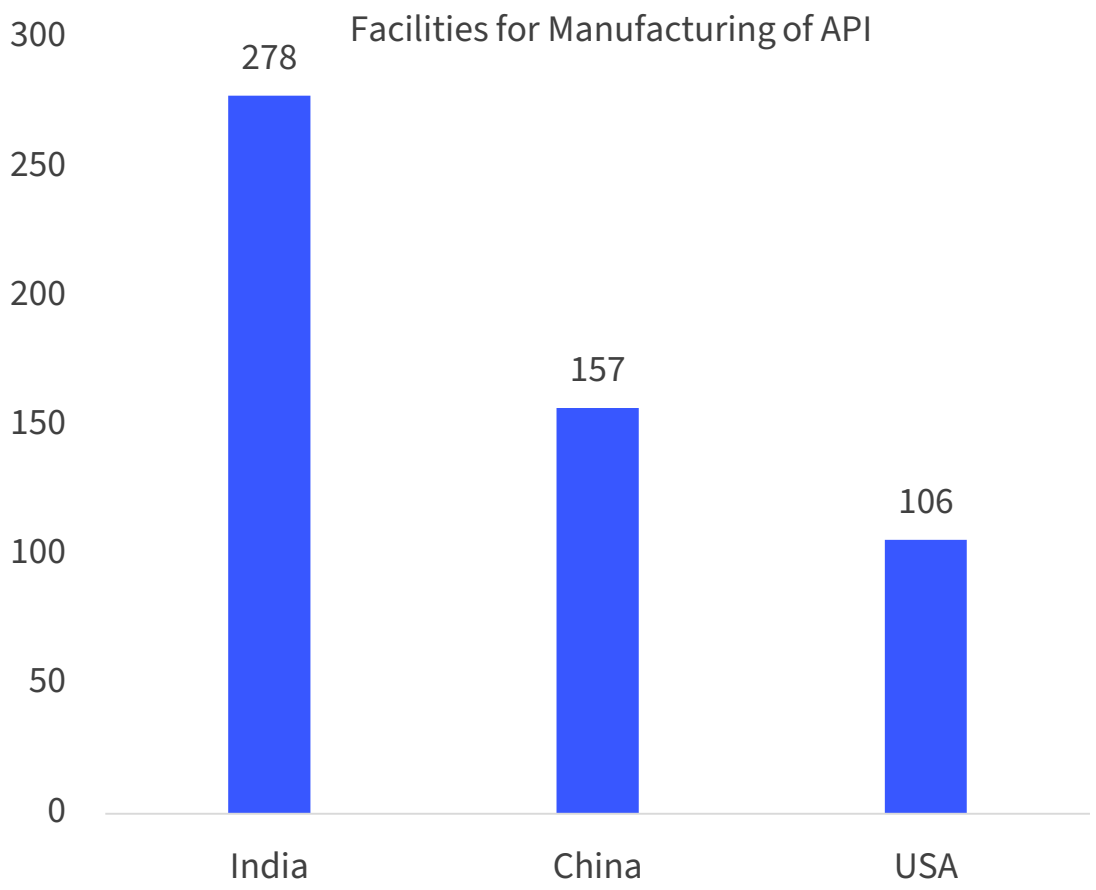
Increase in Oral GLP-1 will lead to higher API demand



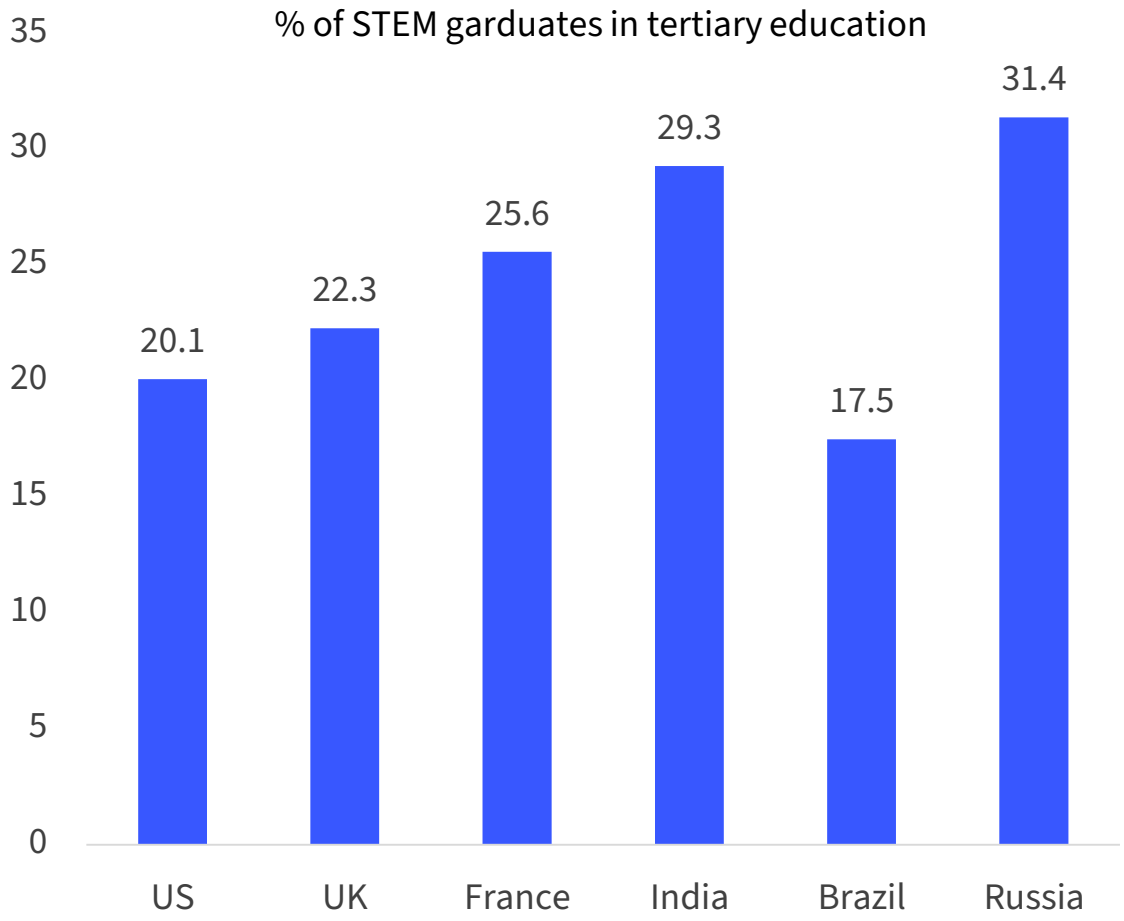
Source: Jefferies - India CRDMO: A Firehose of Opportunities, dated August 2025 Details are as per latest data available. GLP: Glucagon-Like Peptide-1, GIP: Glucose-dependent Insulinotropic Polypeptide, Type 2 Diabetes Mellitus.

India's Right to Win

India has the highest number of FDA approved facilities



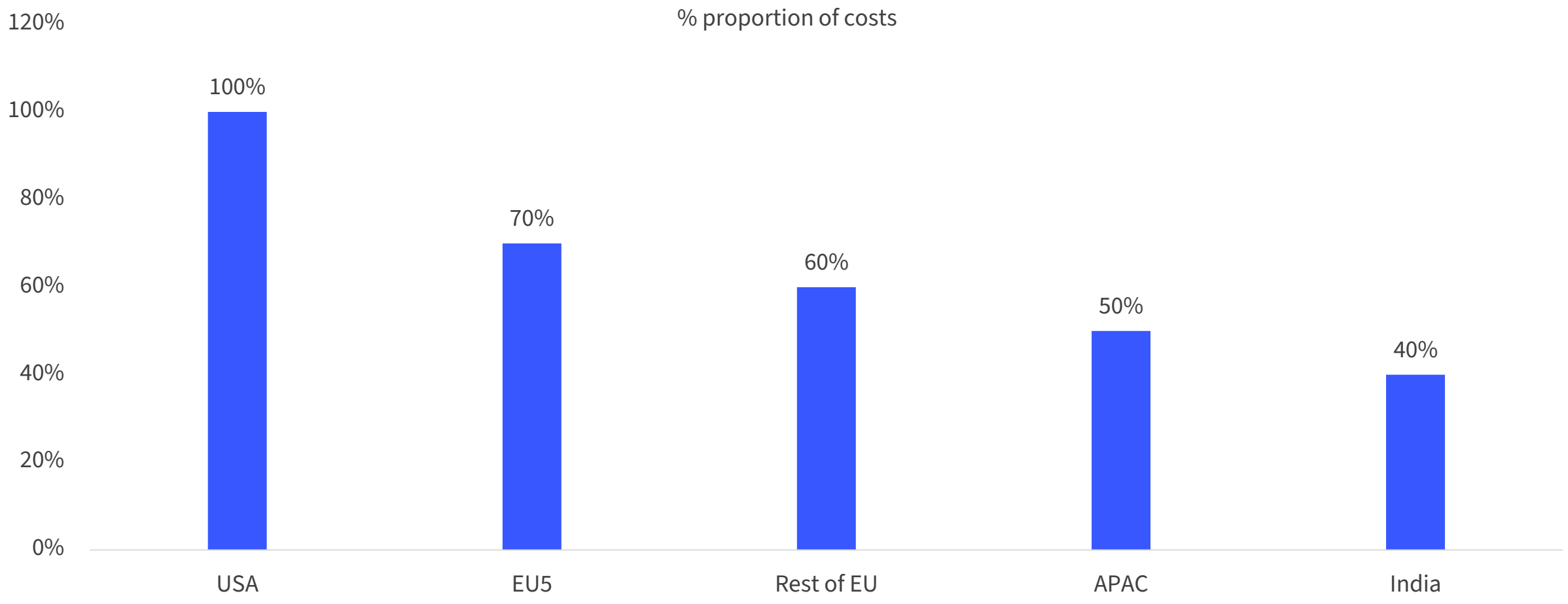
India has an edge in terms of number of STEM graduates



Source: UNESCO 2022, JP Morgan India CRDMOs, Dated Sep, 2025. Details are as per latest data available. STEM- Science, Technology, Engineering, or Mathematics

India's Right to Win

India has lower capex and manufacturing cost compared to peers



Source: Frost & Sullivan, Sai Life Sciences DRHP, JP Morgan India CRDMOs. Dated Sep 2025 Details are as per latest data available. EU5 stands five major European countries, EU stands for European Union, APAC – Asia Pacific.

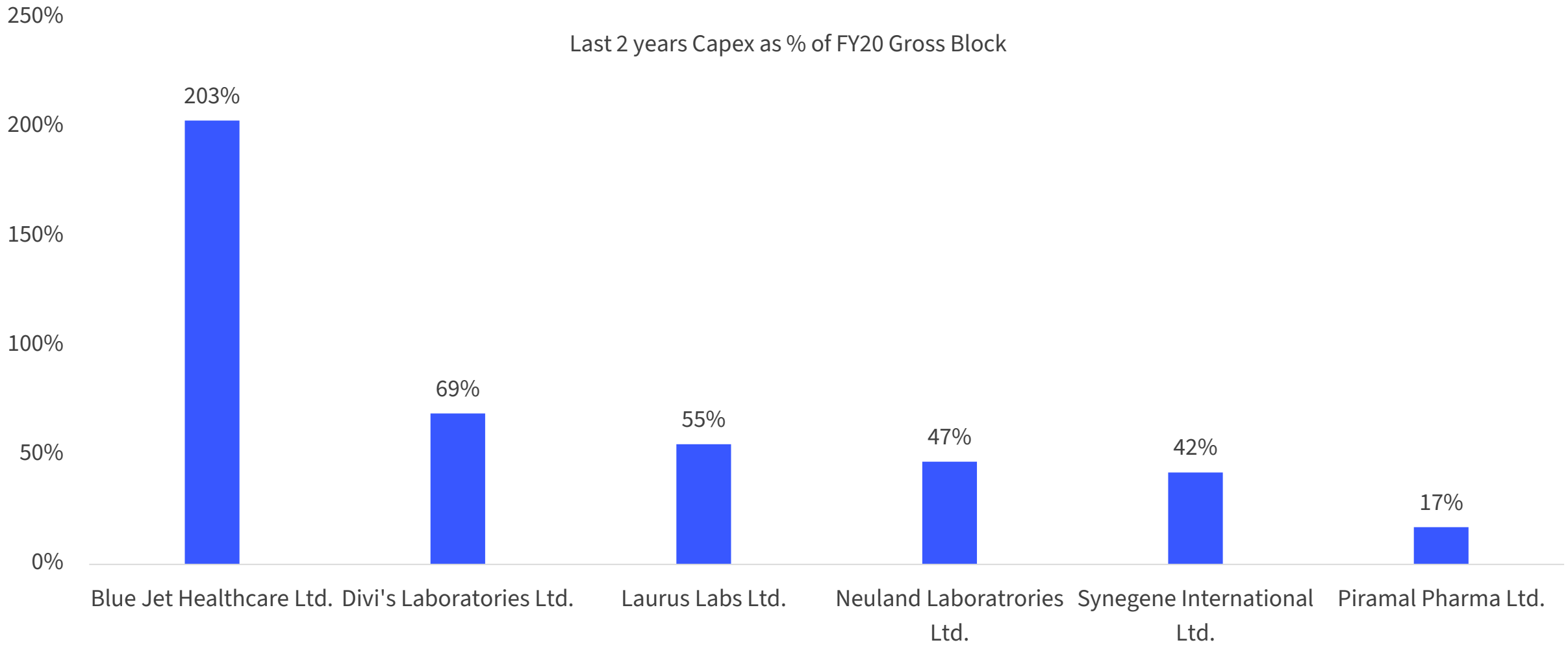
Indian Companies are growing their presence in new-age modalities

	Anthem	Divis	Laurus	Neuland	Piramal	Sai	Suven	Syngene
Flow Chemistry	Strong presence	Strong presence	Strong presence	Strong presence	Limited presence	Strong presence	Strong presence	Strong presence
Bio-catalysis	Strong presence		Strong presence	Limited presence	Limited presence	Limited presence	Strong presence	Strong presence
Fermentation based mfg.	Strong presence		Limited presence	Limited presence		Strong presence		Limited presence
ADC dev. & mfg.	Strong presence				Strong presence	Strong presence	Strong presence	Strong presence
Peptide dev. & mfg.	Strong presence	Limited presence	Limited presence	Strong presence	Strong presence	Strong presence		Strong presence
RNAi & Lipids Platform	Strong presence				Limited presence	Strong presence		Strong presence
Oligonucleotide dev, & mfg.	Strong presence			Limited presence		Strong presence	Strong presence	Strong presence

Strong presence | Limited presence | Lack of material presence

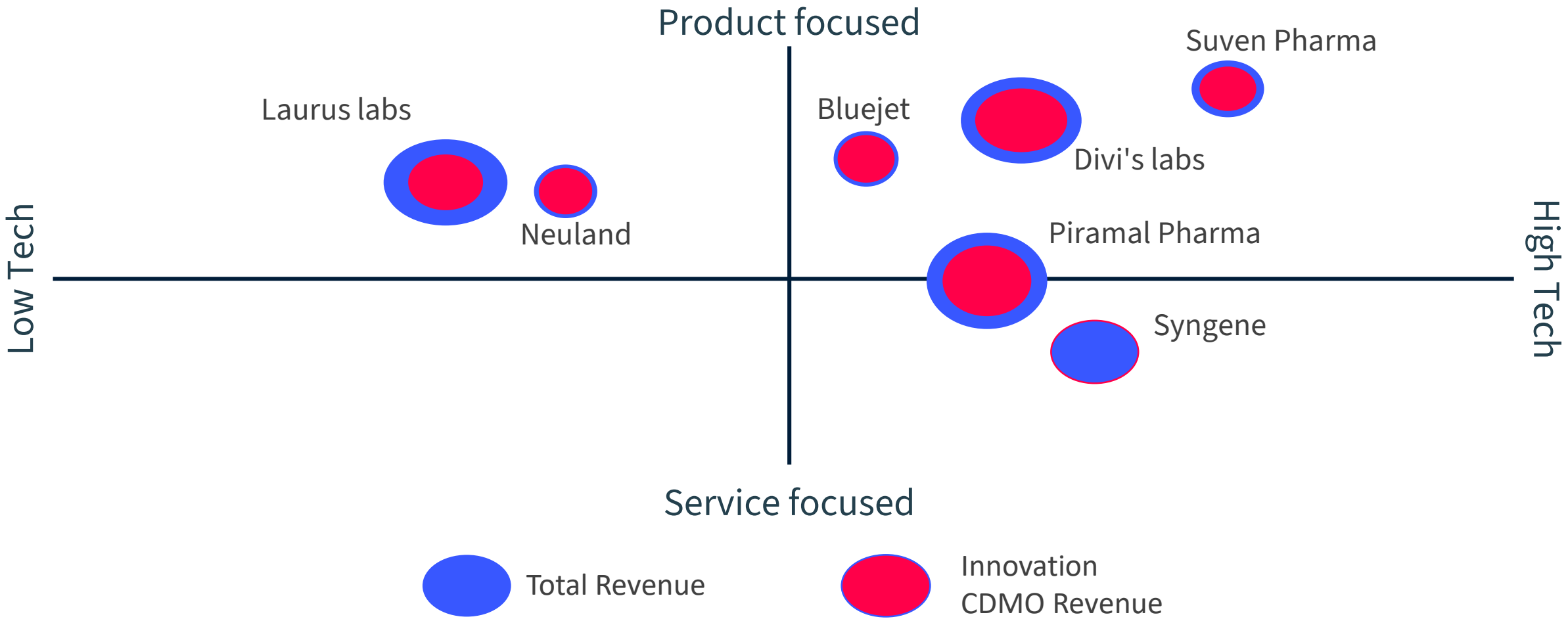
Source: Industry, JM Financial – Indian CRDMO, dated October 2025. RNAi: RNA interference, ADC stands for Antibody-Drug Conjugate. Details are as per latest data available. Anthem – Anthem Biosciences Pvt. Ltd. , Divis – Divi's Laboratories Ltd. , Laurus – Laurus Labs Ltd. , Neuland – Neuland Laboratories Ltd. , Piramal – Piramal Pharma Ltd. , Sai – Sai Life Sciences Ltd. , Suven – Suven Pharmaceuticals Ltd. , Syngene – Syngene International Ltd. The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only.

Indian Companies Are Investing For Growth



Source: Bloomberg – Latest Company Financials, dated March FY25. Note-For Piramal Pharma FY21 Gross Block is considered, The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only.

Segmentation of listed CDMO players



Source: Macquarie India CRDMO , Dated Feb 2025. Details are as per latest data available. The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only. . Anthem – Anthem Biosciences Pvt. Ltd. , Divis – Divi's Laboratories Ltd. , Laurus – Laurus Labs Ltd. , Neuland – Neuland Laboratories Ltd. , Piramal – Piramal Pharma Ltd. , Sai – Sai Life Sciences Ltd. , Suven – Suven Pharmaceuticals Ltd. , Syngene – Syngene International Ltd. The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only.

Summary

- The global CRDMO market is expanding rapidly due to higher pharma R&D, complex drug pipelines, and increased outsourcing for efficiency and expertise.
- Geopolitical tensions and supply chain disruptions are driving pharma companies to diversify beyond China ("China+1"), creating opportunities for alternative hubs like India.
- India offers strong cost competitiveness, many US-FDA-approved facilities, a skilled STEM workforce, and deep expertise in process chemistry and regulatory compliance.
- The Indian CRDMO sector is the fastest-growing globally, with growth across manufacturing, development, and advanced modalities; Indian firms are moving up the value chain into more complex, high-value projects.
- India is well-positioned to benefit from global supply chain shifts and rising demand for innovative therapies, with strong fundamentals and increasing global recognition.
- As a result, India is set to gain market share and play a pivotal role in the future of pharmaceutical R&D and manufacturing.

Source: KMAMC Internal

Disclaimers

The information contained in this (document) is extracted from different public sources/KMAMC internal research. All reasonable care has been taken to ensure that the information contained herein is not misleading or untrue at the time of publication. This is for the information of the person to whom it is provided without any liability whatsoever on the part of Kotak Mahindra Asset Management Co Ltd or any associated companies or any employee thereof. Investors should consult their financial advisors if in doubt about whether the product is suitable for them before investing.

The document includes statements/opinions which contain words or phrases such as "will", "believe", "expect" and similar expressions or variations of such expressions, that are forward looking statements. Actual results may differ materially from those suggested by the forward looking statements due to risk or uncertainties associated with the statements mentioned with respect to but not limited to exposure to market risks, general and exposure to market risks, general economic and political conditions in India and other countries globally, which have an impact on the services and/or investments, the monetary and interest policies of India, inflation, deflation, unanticipated turbulence in interest rates, foreign exchange rates, equity prices or other rates or prices etc.

This is not intended for distribution or use by any person in any jurisdiction where such distribution would be contrary to local law or regulation. The distribution of it, in certain jurisdictions may be restricted or totally prohibited and accordingly, persons who come into possession of this material are required to inform themselves about, and to observe, any such restrictions. The sector(s)/ stock(s) referred, if any should not be construed as any kind of recommendation and are for information/used to explain the concept.

Past performance may or may not be sustained in future.

Investors may consult their financial expert before making any investment decision.

Thank You

Mutual fund investments are subject to market risks,
read all scheme related documents carefully.